

Credent Asset Management Services Private Limited

Valuation Policy And Procedures

Credent Asset Management Services Pvt. Ltd.

Mumbai office: 306, B2, Shubham Centre, Cardinal Gracious Road, Chakala, Andheri (East), Airport (Mumbai),
Maharashtra, India, 400099

CIN: U65923MH2014PTC258173

Credentglobal.com / Contact No.: 022-68452001

[E-mail: compliance@credentglobal.com](mailto:compliance@credentglobal.com)

<u>Document Control</u>	
Title	Valuation Policy
Policy Owner	Compliance Department
Version	1
Revision	
Tentative next review	On any Regulatory change or Annually, whichever is earlier.
Date of circulation to relevant stakeholder after approval	20/08/2018

This document is the sole property of Credent Asset Management Services Private Limited. Any use or duplication of this document without express permission of Credent Asset Management Services Private Limited is strictly forbidden and illegal.

Credent Asset Management Services Pvt. Ltd.

Mumbai office: 306, B2, Shubham Centre, Cardinal Gracious Road, Chakala, Andheri (East), Airport (Mumbai), Maharashtra, India, 400099

CIN: U65923MH2014PTC258173

Credentglobal.com / Contact No.: 022-68452001

[E-mail: compliance@credentglobal.com](mailto:compliance@credentglobal.com)

1. INTRODUCTION

This Valuation Policy (“Policy”) sets out the principles and procedures adopted by Credent Asset Management Services Private Limited (“Portfolio Manager”) for valuation of client portfolios under its Portfolio Management Services (PMS). The objective of this Policy is to ensure that securities are valued in a fair, consistent, transparent, and prudent manner, in accordance with applicable regulations and industry best practices.

The Portfolio Manager shall act in a fiduciary capacity and ensure that valuation methodologies are applied uniformly across client portfolios.

2. Objective

The objectives of this Policy are to:

- Ensure accurate computation of portfolio value and performance
- Maintain consistency and transparency in valuation practices
- Avoid conflicts of interest in valuation
- Ensure regulatory compliance
- Provide a reliable basis for client reporting and fee computation

3. Valuation Principles

The Portfolio Manager shall adhere to the following overarching principles:

- Securities shall be valued at fair market value.
- Valuation methodology shall be consistently applied.
- Any deviation from standard methodology shall be documented and approved.
- Valuation shall be independent of the investment decision-making process.
- Client interests shall be paramount in case of any ambiguity.

Credent Asset Management Services Pvt. Ltd.

Mumbai office: 306, B2, Shubham Centre, Cardinal Gracious Road, Chakala, Andheri (East), Airport (Mumbai), Maharashtra, India, 400099

CIN: U65923MH2014PTC258173

Credentglobal.com / Contact No.: 022-68452001

[E-mail: compliance@credentglobal.com](mailto:compliance@credentglobal.com)

4. Valuation Methodology

A. Listed Equity and Equity-Linked Instruments

Listed securities shall be valued at the closing market price on the principal stock exchange where the security is traded on the valuation date. If the security is not traded on a particular day, the last available traded price shall be considered, subject to internal review for material events.

B. Debt Securities

Listed debt securities shall be valued based on traded prices where available. In the absence of traded prices, valuation shall be based on prices provided by recognized valuation agencies or pricing matrices, taking into account credit rating, yield curves, and residual maturity.

Unlisted debt securities shall be valued using appropriate valuation models considering cash flows, discount rates, credit spreads, and other relevant factors.

C. Money Market and Short-Term Instruments

Money market instruments shall be valued at amortized cost or market value, depending on residual maturity and prevailing regulatory guidance. Any material deviation between amortized cost and market value shall be reviewed and adjusted where necessary.

D. Unlisted Securities

Unlisted securities shall be valued using internationally accepted valuation methodologies such as discounted cash flow (DCF), comparable company multiples, or net asset value (NAV) method, as appropriate. Valuations may be supported by independent valuation reports where required. All assumptions used in valuation shall be reasonable, supportable, and documented.

E. Mutual Fund Units / AIF Units / Other Collective Investment Schemes

Units of mutual funds or other pooled investment vehicles shall be valued at the latest available NAV declared by the respective fund.

Credent Asset Management Services Pvt. Ltd.

Mumbai office: 306, B2, Shubham Centre, Cardinal Gracious Road, Chakala, Andheri (East), Airport (Mumbai), Maharashtra, India, 400099

CIN: U65923MH2014PTC258173

Credentglobal.com / Contact No.: 022-68452001

[E-mail: compliance@credentglobal.com](mailto:compliance@credentglobal.com)

F. Derivatives

Exchange-traded derivatives shall be valued at the closing settlement price published by the relevant exchange on the valuation date. Mark-to-market gains or losses shall be reflected in the portfolio valuation.

5. Frequency of Valuation

Valuation of client portfolios shall be carried out on a periodic basis, at minimum as required for reporting to clients and for fee calculation purposes. Performance reporting shall be based on such valuations.

6. Valuation Controls and Oversight

The Portfolio Manager shall establish internal controls to ensure accuracy and consistency in valuation. The valuation process shall be subject to periodic review by the Compliance Officer or internal audit team. Any discrepancies or errors identified shall be rectified promptly and reported to senior management where material.

7. Conflict of Interest in Valuation

To prevent conflicts of interest, the valuation function shall operate independently from the investment management function, wherever feasible. Valuation decisions shall not be influenced by fee considerations, performance reporting pressures, or investment positions. Any potential conflict shall be disclosed and appropriately managed.

8. Documentation and Record Keeping

All valuation methodologies, assumptions, pricing sources, and deviations shall be properly documented and retained in accordance with regulatory record-keeping requirements. Supporting documents shall be maintained for audit and inspection purposes.

Credent Asset Management Services Pvt. Ltd.

Mumbai office: 306, B2, Shubham Centre, Cardinal Gracious Road, Chakala, Andheri (East), Airport (Mumbai), Maharashtra, India, 400099

CIN: U65923MH2014PTC258173

Credentglobal.com / Contact No.: 022-68452001

[E-mail: compliance@credentglobal.com](mailto:compliance@credentglobal.com)

9. Disclosure to Clients

The broad valuation principles shall be disclosed in the Disclosure Document provided to clients. Clients shall be informed of the basis of valuation used for performance reporting and fee computation.

10. Review of Policy

This Valuation Policy shall be reviewed at least annually or earlier if required due to regulatory amendments, changes in business operations, or introduction of new financial instruments. Any amendments shall be approved by the Board of Directors.

Credent Asset Management Services Pvt. Ltd.

Mumbai office: 306, B2, Shubham Centre, Cardinal Gracious Road, Chakala, Andheri (East), Airport (Mumbai), Maharashtra, India, 400099

CIN: U65923MH2014PTC258173

Credentglobal.com / Contact No.: 022-68452001

[E-mail: compliance@credentglobal.com](mailto:compliance@credentglobal.com)